

Why pay more per metre for a smaller flat?

**It sounds backwards, I know, until you read
the listings.**

suf Zen · Realization



On paper, the project failed

Our comparables model took price per square metre from nearby listings and multiplied it by each unit's area. The totals came out too low for a small infill project.

So I pushed back, and we opened the listings together, live.



Less per metre, nearly the same total

Small old flats were asking a high price per metre and larger ones much less, yet their totals landed in nearly the same place. Buyers weren't paying for metres.



Different price per metre, nearly the same total

Small old flat

Price per metre

high

Total price

nearly the same

Larger flat

Price per metre

much lower

Total price

nearly the same

Buyers weren't paying for metres, but for a way in.

Design under the tax line

First-home buyers up to 35 pay no IMT (property transfer tax) under a yearly ceiling, so every unit but one stays below it. Appraisal risk sits in the model from day one.

Price per metre still has a job: checking cost and margin.



Start from the ticket your buyer can finance, then design the metres to fit it.

Pricing small units right now? Tell me what your listings say.

